INTRODUCTION

The foreign exchange market, which is the largest trading market in the world, facilitates international trade and capital flows. Numerous participants use this market for a wide variety of financial, business, trade, and hedging purposes. As with any trading market, the foreign exchange market uses various terms and conventions that allow participants to understand quoting mechanisms and the factors affecting pricing and then to conduct trades. International capital flows are the primary determinant of short- to medium-term exchange rate movements, and exchange rate movements affect the trade balance between countries. Given the relative economic stability and objectives of different national governments, countries use a range of exchange rate regimes, which are described in this module. These lessons introduce and expand upon these topics to lay the groundwork for a more detailed understanding of the foreign exchange market.

Learning Module Overview

- The foreign exchange market is the largest market in the world.
- Nominal spot exchange rates are quoted in the market and are inputs for analysts to determine real exchange rates, which reflect the relationship between domestic and foreign price levels and indicate the relative purchasing power between countries. To track exchange rate movements, calculating the percentage change in a currency relative to another currency enables market participants to understand price changes and use these percentages in market trades.
- Exchange rate regimes can be floating or fully fixed, and various political and economic forces drive countries to use one of a number of intermediate regimes.
- The impact of exchange rates and other factors on a country's trade balance is mirrored by their impact on that country's capital flows.
- Although the free flow of capital between countries is most beneficial economically, governments may restrict capital inflows or outflows to address domestic policy and strategic or defense-related objectives. These restrictions allow governments to avoid capital flight in times of macroeconomic crisis and limit capital inflows, which may hurt the competitiveness of domestic firms.

Category
Capital Flows and the FX Market

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